



MARKET MONITOR

No. 61 – September 2018

Weather has been the primary driver of adjustments to production forecasts since the previous report in July. Prolonged heat and dry conditions in several regions have taken a heavy toll on wheat crops, especially in northern parts of Europe and the Russian Federation. Conversely, production forecasts for maize have been scaled up, largely thanks to exceptional yield expectations in the US. Also, the outlook for soybeans has improved, mostly on favourable growing conditions in the US and expectations of further gains in area planted in Brazil. Prospects for rice continue to point to a record 2018 crop. With production forecasts now becoming firmer, markets will be focusing more on issues affecting trade flows and their implication on international prices.

The **Market Monitor** is a product of the Agricultural Market Information System (AMIS). It covers international markets for wheat, maize, rice and soybeans, giving a synopsis of major market developments and the policy and other market drivers behind them. The analysis is a collective assessment of the market situation and outlook by ten international organizations and entities that form the AMIS Secretariat.

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Markets at a glance

	From previous forecast	From previous season
Wheat	▼	▼
Maize	▲	▼
Rice	■	▲
Soybeans	▲	▲
▲ Easing ■ Neutral ▼ Tightening		

Feature article

Currency depreciations pose further challenge to food market stability

As the 2017/18 season gradually unfolds, it is becoming increasingly clear that agricultural markets are in rougher shape than in previous years. Several factors are at play. While policy developments such as the US-China trade dispute (the focus of July's featured article) have loomed over markets for the past couple of months, more recently heat waves and prolonged dry conditions in several parts of the world have introduced new risks by sharply reducing the expected production of wheat and other crops. A less apparent but potentially very destabilizing factor is the drastic depreciation of several emerging market currencies against the US dollar, the most widely traded currency.

In 2018, most currencies have weakened against the dollar, but emerging economies have been particularly hard hit. The Argentinean peso is almost 60 percent lower since the beginning of the year while the Brazilian *real* and the Russian *ruble* have lost more than one fifth and one sixth of their values, respectively. Considering that all of these countries are major exporters of agricultural commodities, the importance of these currency depreciations for global food markets cannot be overstated.

A case in point is Brazil. In normal times, the sharp drop in international soybean prices – denominated in US dollars – would be a signal for a large exporter to produce and sell less. Instead, the cheaper *real* is providing an incentive to soybean farmers to increase cultivation and cash sales to global markets, especially in view of strong buying interest from China. In fact, contrary to US benchmark prices that declined in the wake of the US-China trade dispute, Brazilian export prices have appreciated, leading to a significant (and unseasonal) premium over those in the US.

In Argentina, the sharp drop of the *peso* as a consequence of the country's challenging economic situation pushed the government to reinstate duties on grain exports and raise the effective export tax for soybeans and derived products. In the case of Russia, the government has so far opted against export restrictions, despite this year's sharp decline in wheat production and continued high export sales. While the government may still decide to impose some limitations on exports, the fact that such actions in the past dented the country's hard sought international credibility as a reliable supplier is seen as a strong deterrent.

It is important to keep in mind that some of the increased competitiveness of a country with a weaker currency is likely to be offset by higher interest rates and prices for energy and agricultural inputs such as seeds and fertilizers, especially if these need to be imported and distributed across the country. Again, Brazil offers a telling example. Following a change in the country's fuel pricing policy, domestic diesel prices have tracked rising global market prices, making transport costs – primarily by truck – significantly more expensive in depreciated *reals*. Also, double-digit interest rates have led many producers to rely on barter arrangements in which inputs are exchanged for a crop portion, thereby limiting marketing options.

Predicting the precise impact of currency movements on markets is a formidable task. Clearly, though, these movements introduce an important degree of market instability, especially if they are as widespread and pronounced as the ongoing wave of currency depreciations in emerging economies.

World supply-demand outlook

• **Wheat** production forecast for 2018 revised down sharply mostly on prolonged dry and hot weather conditions adversely affecting yields, particularly in the northern countries of the EU and in the Russian Federation.

• Utilization in 2018/19 reduced with feed use adjusted down; but total use still forecast to grow, supported by increased food consumption.

• Trade in 2018/19 (July/June) now 1.8 percent below the 2017/18 record with reduced sales from the EU, the Russian Federation and Ukraine to be partially offset by higher shipments from the US.

• Stocks (ending in 2019) to fall more than anticipated earlier on deteriorating production prospects, especially among the major exporters.

WHEAT	FAO-AMIS			USDA		IGC	
	2017/18	2018/19		2017/18	2018/19	2017/18	2018/19
	est.	f'cast	5-Jul	est.	f'cast	est.	f'cast
			6-Sep		10-Aug		23-Aug
Production	756.7	736.1	721.8	758.0	729.6	758.0	716.4
Supply	1,013.3	1,009.7	995.4	1,015.2	1,002.7	1,001.9	982.4
Utilization	737.3	741.1	740.9	742.1	743.7	735.9	734.4
Trade	176.8	175.0	173.6	182.6	183.9	176.0	174.2
Stocks	273.6	264.2	252.3	273.1	259.0	266.0	248.0

in million tonnes

• **Maize** production forecast for 2018 raised, particularly in the US on expectation of very good yields.

• Utilization in 2018/19 scaled up, supported by brisker demand for feed and industrial use than projected earlier, especially in China and the US.

• Trade forecast for 2018/19 (July/June) lifted, reflecting prospects for higher imports by several Asian countries.

• Stocks (ending in 2019) raised on upward revisions in Brazil, Mexico and the US, but still well below their opening levels.

MAIZE	FAO-AMIS			USDA		IGC	
	2017/18	2018/19		2017/18	2018/19	2017/18	2018/19
	est.	f'cast	5-Jul	est.	f'cast	est.	f'cast
			6-Sep		10-Aug		23-Aug
Production	1,092.2	1,044.7	1,065.5	1,033.3	1,061.1	1,044.9	1,064.4
Supply	1,393.9	1,353.9	1,374.7	1,261.1	1,254.4	1,375.0	1,361.9
Utilization	1,075.3	1,091.5	1,105.6	1,067.8	1,098.9	1,077.6	1,105.5
Trade	154.2	148.7	152.5	147.5	159.6	151.3	155.8
Stocks	309.2	260.3	267.1	193.3	155.5	297.4	256.4

in million tonnes

• **Rice** production in 2018 raised fractionally, mainly on improved prospects for Bangladesh, Sri Lanka, the United States and Viet Nam, which outweighed a reduction for Egypt.

• Utilization in 2018/19 envisaged to expand by 1.1 percent, on greater food use.

• Trade in 2019 seen 1.1 percent below the 2018 level, but still the third highest volume on record, as import cuts in Asia are mostly compensated by stronger African demand.

• Stocks (ending in 2019) downscaled marginally, as downward corrections for China, Egypt, Japan and the Philippines are

RICE (milled)	FAO-AMIS			USDA		IGC	
	2017/18	2018/19		2017/18	2018/19	2017/18	2018/19
	est.	f'cast	5-Jul	est.	f'cast	est.	f'cast
			6-Sep		10-Aug		23-Aug
Production	505.0	511.4	511.8	488.5	487.6	488.2	490.6
Supply	672.8	682.5	682.2	625.3	631.4	611.4	614.8
Utilization	504.1	509.5	509.6	481.5	487.8	487.3	492.2
Trade	47.8	47.5	47.3	48.3	49.3	47.6	48.2
Stocks	170.4	173.7	173.4	143.8	143.6	124.2	122.7

in million tonnes

• **Soybean** production forecast for 2018/19 raised substantially on above-average crop conditions in the US and a promising season in Brazil.

• Utilization in 2018/19 also revised upward, with higher-than-earlier-anticipated crush in the US, the EU, Brazil and Argentina offsetting weak consumption growth in China.

• Trade forecast for 2018/19 trimmed, largely on downward adjustments to imports by China and reduced shipments from the US, in part due to the trade dispute between the two countries.

• Stocks (2018/19 carry-out) forecast raised sharply (now up 19 percent y/y) on further upward revisions for the US, mirroring the country's prospective bumper crop and limited export opportunities.

SOYBEANS	FAO-AMIS			USDA		IGC	
	2017/18	2018/19		2017/18	2018/19	2017/18	2018/19
	est.	f'cast	5-Jul	est.	f'cast	est.	f'cast
			6-Sep		10-Aug		23-Aug
Production	340.3	359.6	366.8	336.7	367.1	338.4	366.4
Supply	392.9	399.1	406.7	433.4	462.7	386.6	408.8
Utilization	353.3	357.9	359.9	337.5	353.6	344.2	357.4
Trade	152.0	156.3	154.9	153.7	158.0	152.3	154.0
Stocks	39.9	39.2	47.4	95.6	105.9	42.4	51.4

in million tonnes



FAO-AMIS monthly forecast

To review and compare data, by country and commodity, across the three main sources, go to:
<http://statistics.amis-outlook.org/data/index.html#COMPARE>

Summary of revisions to FAO-AMIS monthly forecasts for 2018/19

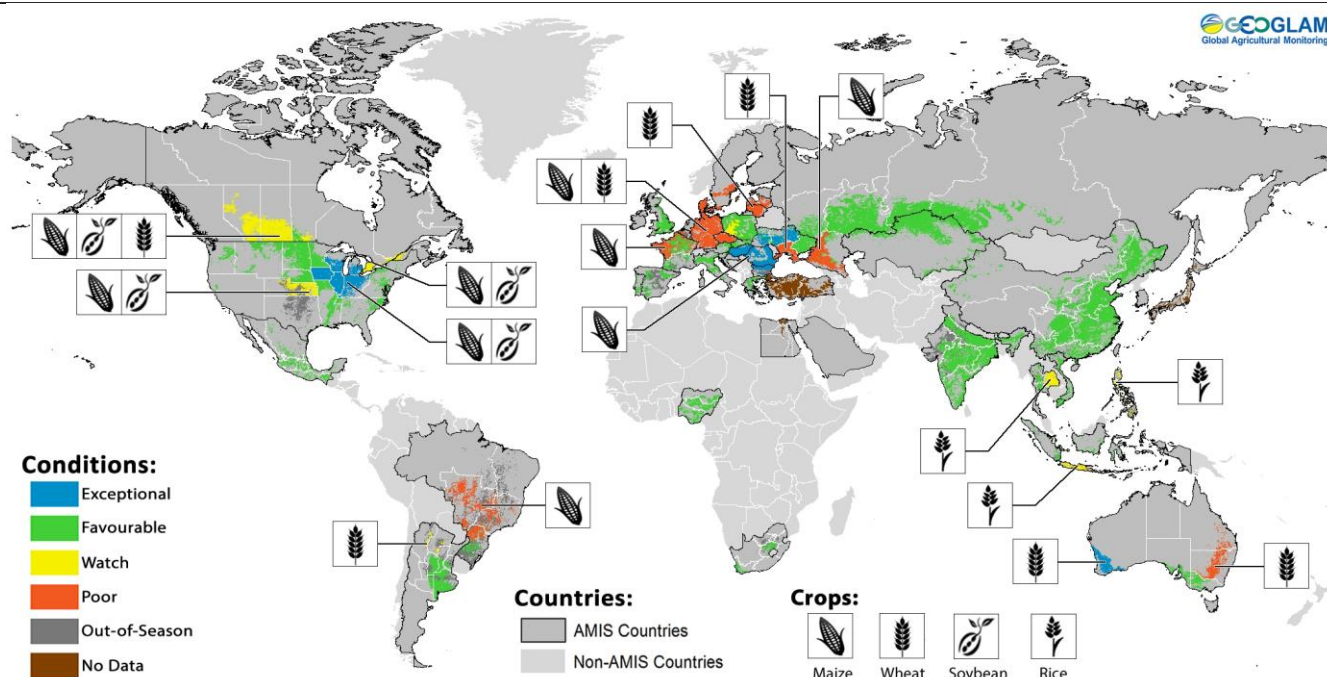
in thousand tonnes

	WHEAT					MAIZE				
	Production	Imports	Utilization	Exports	Stocks	Production	Imports	Utilization	Exports	Stocks
WORLD	-14302	-1401	-206	-1408	-11976	20794	3816	14112	3799	6825
Total AMIS	-14284	-1345	-749	-1435	-11117	19272	350	8246	3560	7409
Argentina	1000	-	-	1000	-1000	1300	-	-700	1000	500
Australia	-1401	-	26	10	-1392	-	-	-	-	-
Brazil	286	-	386	-50	350	-2822	-	1178	-4500	3000
Canada	-1000	-40	-180	100	-900	-500	-	-100	90	-200
China Mainland	-4230	500	-	-	-2681	2800	800	4000	-	110
Egypt	-331	-	-	-	69	-	-	-100	-	-
EU	-9000	500	-2200	-5000	-500	500	-	1000	-	-500
India	1090	-950	1390	200	-1000	1200	-	1400	-50	270
Indonesia	-	-1000	-300	30	50	500	-600	270	-	-
Japan	-	-	-	-	-100	-	-	-	-	-
Kazakhstan	200	40	-285	300	225	-	-	30	-	-30
Mexico	18	-	18	-	-	357	-	-1643	-	2000
Nigeria	-	-	-	-	-	-	-	-	-	-
Philippines	-	300	240	60	-	200	100	300	-	-
Rep. of Korea	-6	-110	-6	-	-	-1	-50	-	-	-1
Russian Fed.	-3000	-400	-	-2000	-2700	-1700	-	-1140	-500	-
Saudi Arabia	-257	-400	-267	-	-208	-	-	-	-	-
South Africa	265	-100	165	-	-	-	-	-50	-	-100
Thailand	-	-	-	-	-	-	-	-	-	-
Turkey	-	-	-	-	-1022	-	150	100	-	-
Ukraine	740	15	-	900	-219	3456	-	400	3000	-44
US	1342	-	137	3000	-289	13882	-50	2921	4500	2705
Viet Nam	-	300	127	15	200	100	-	380	20	-300

	RICE					SOYBEANS				
	Production	Imports	Utilization	Exports	Stocks	Production	Imports	Utilization	Exports	Stocks
WORLD	387	-145	110	-222	-252	7177	-1412	2020	-1415	8169
Total AMIS	-71	-140	41	486	-568	7089	-1647	1886	-1451	8112
Argentina	46	-	1	90	45	-500	100	600	400	-100
Australia	-	20	5	-155	50	-	-	-	-	0
Brazil	197	-	112	-	99	1600	-	600	2700	-700
Canada	-	-	-	-	-	-85	150	190	-	475
China Mainland	-	-770	-525	400	-500	100	-4150	-2650	-	-1400
Egypt	-856	290	-146	-110	-180	-	400	280	-	120
EU	-12	-20	-71	-1	-10	-6	1291	1285	-	-
India	-	-	-	-	-	-500	20	-430	-	-50
Indonesia	-	350	294	-	400	100	80	130	-	-10
Japan	-0	-	-11	-	-270	-	-	-	-	-
Kazakhstan	-	-	-	-	-	-	-	-	-	-
Mexico	-	-	-	-	-	-	400	207	-	688
Nigeria	-	-100	-20	-	-	-	-	-	-	-
Philippines	-	340	131	-	-250	-	-	-	-	-
Rep. of Korea	-	-	-	12	-	-10	-20	-40	-	10
Russian Fed.	-4	-	13	-	-20	100	0	231	-	-131
Saudi Arabia	-	-	-	-	-	-	100	100	-	-
South Africa	-	-	-	-	-	156	15	77	-19	327
Thailand	-	-	-100	-200	-	-7	37	-60	-	100
Turkey	-	-	-	-	-	-	-	-	-	0
Ukraine	-	-	-	-	-	-169	1	-266	168	-
US	243	-	253	-100	68	6310	-	1660	-4700	8850
Viet Nam	315	-250	105	550	-	-	-71	-28	-	-67

Crop monitor

Crop conditions in AMIS countries (as of 28 August)



Crop condition map synthesizing information for all four AMIS crops as of 28 August. Crop conditions over the main growing areas for wheat, maize, rice, and soybean are based on a combination of national and regional crop analyst inputs along with earth observation data. **Only crops that are in other-than-favourable conditions are displayed on the map with their crop symbol.**

Conditions at a glance

Wheat - In the northern hemisphere, winter wheat harvest has wrapped up with further reduced yield prospects in the EU and Ukraine. Spring wheat harvest is ongoing in the northern hemisphere, with favourable production prospects across the major growing regions, with the exception of Canada where there is some concern due to persistent hot and dry conditions. In the southern hemisphere, winter wheat conditions are favourable in most growing regions, with the exception of eastern Australia where prolonged dry conditions are significantly impacting yield prospects.

Maize - In the southern hemisphere, the season is mostly over. Harvest of the summer-planted crop in Brazil is wrapping up, with reduced yield prospects in parts of the country due to dry conditions. However, total national production remains above the five-year-average, owing in part to increased area. In the northern hemisphere, conditions are mixed, with dry conditions impacting yield prospects in northern Europe, Canada, and the Russian

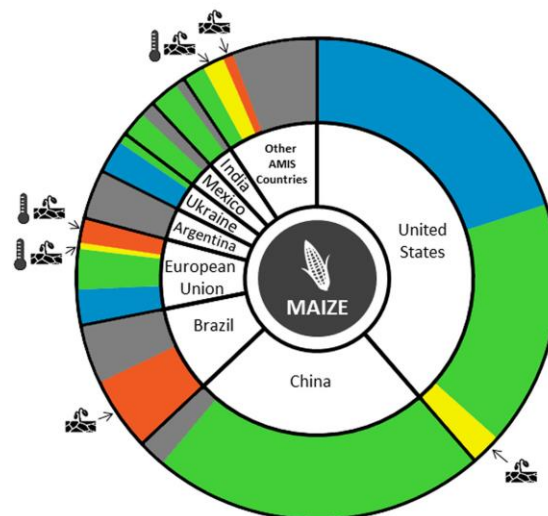
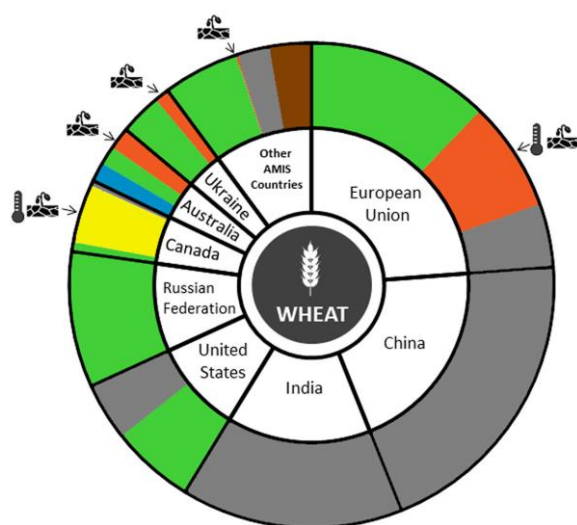
Federation. Exceptional conditions are observed in the Midwest of the US and in southeastern Europe.

Rice - In China and India, conditions are favourable. In Southeast Asia, the wet-season is ongoing with mixed conditions in the Philippines due to typhoon damage, and in parts of Thailand, due to floods. In Indonesia, sowing of dry-season rice is progressing slowly due to dry conditions.

Soybean - In the northern hemisphere, the US is experiencing exceptional growing conditions in the main producing regions, with record yields forecast in many areas. Conditions are favourable across China, India, and Ukraine, while there is some concern in Canada due to hot and dry conditions.

El Niño update

Current El Niño Southern Oscillation (ENSO) conditions are neutral. Models indicate that a weak to moderate strength El Niño may develop during the northern hemisphere 2018 fall season and be present through the northern hemisphere 2018/19 winter (60-70 percent chance). This event is forecast to be substantially weaker than the most recent El Niño in 2015/16. Should El Niño materialize, normal to above normal rains could occur in Central Asia, southern North America, southeastern South America, and East Africa. Normal to drier than normal conditions could occur in Central America, Caribbean, northern South America, Southern Africa, the Maritime Continent, and Australia.

Conditions:**Drivers:****Wheat**

In the **EU**, harvest wrapped up under mixed conditions. Hot and dry weather across northern and central Europe impacted final yields in these regions, while the season completed favourably in the rest of Europe. In **Ukraine**, harvest completed under favourable conditions for most of the country with the exception of the southern region, where hot and dry conditions reduced yields. In the **Russian Federation**, winter wheat harvest is nearing completion under favourable conditions. National yields are within the five-year-average, despite the hot and dry conditions, which affected some growing areas during the season. Spring wheat conditions are favourable as harvest begins. Yields are expected to be lower than last year while production is expected to be higher due to an increase in sown area. In **Kazakhstan**, spring wheat conditions are favourable, with good yield prospects in most of the north-central region. In the **US**, spring wheat conditions are favourable as harvest nears completion. In **Canada**, spring wheat conditions are mixed across the prairies due to hot and dry conditions. As a result, early harvested yields are highly variable. In **Australia**, production prospects continue to deteriorate in New South Wales, Queensland, and parts of South Australia and Victoria as recent rainfall is likely to have arrived too late to benefit failing winter crops. Generally average rainfall over the rest of the country has benefited crop development, with Western Australia experiencing exceptional growing conditions. In **Argentina**, sowing is completed under favourable conditions.

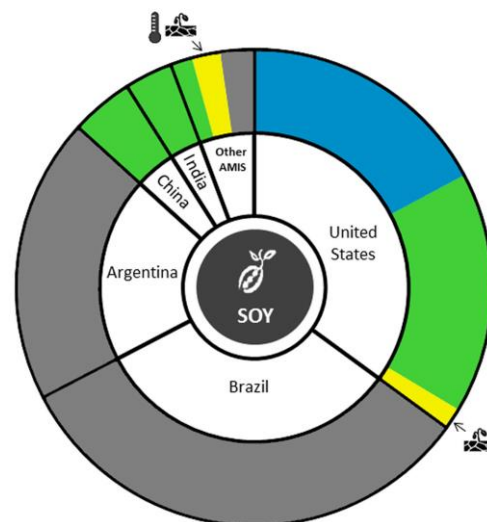
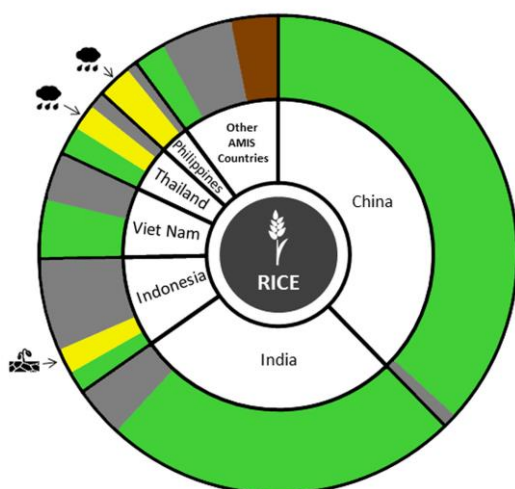
Maize

In **Brazil**, harvest of the summer-planted crop (larger) is nearing completion under generally poor conditions due to lack of rainfall during the critical reproductive stage. While overall yields are down, total national production remains above the five-year-average in part owing to the increase in planted area, as well as the lower impact of negative climatic conditions in the main producing state of Mato Grosso. In the **US**, conditions are exceptional in the core producing US Midwest and are favourable throughout much of the remaining areas. Crop maturity is overall ahead of schedule and harvest will begin soon with record yields expected in many areas. In **Canada**, conditions are mixed due to prolonged high temperatures and low soil moisture. In **Mexico**, sowing of the spring-summer crop is nearing completion with a notable increase in total sown area expected. In **China**, conditions are generally favourable and the crop is in the flowering and maturing stages. In **India**, sowing is completed and the crop has progressed well into the tasseling and silking stage in most states. In the **EU**, conditions are mixed due to extreme hot and dry conditions that impacted crops in northern Europe. By contrast, conditions in south-eastern Europe are favourable to exceptional. In **Ukraine**, crops in central and western areas are in exceptional condition while conditions in southern and eastern areas remain favourable.



Pie chart description: Each slice represents a country's share of total AMIS production (5-year average), with the main producing countries (90 percent of production) shown individually and the remaining 10 percent grouped into the "Other AMIS Countries" category. Sections within each country are weighted by the sub-national production statistics (5-year average) of the respective country and accounts for multiple cropping seasons (i.e. spring and winter wheat).

The late vegetative through to reproductive crop growth stages are generally the most sensitive periods for crop development.

Conditions:**Drivers:****Rice**

In **China**, conditions are generally favourable with single-season rice reaching maturity. In **India**, Kharif rice is under favourable conditions with transplanting completed across the majority of areas. In **Indonesia**, sowing of dry-season rice continues slowly into the fifth month due to below-average rainfall and minor drought damage in Java. Harvest has begun in early sown plots with higher yield expectations relative to last year. In **Viet Nam**, summer-autumn rice (wet-season rice) is under favourable conditions with a slight reduction in total sown area in the south. Harvest is slightly delayed due to rain storms, but has begun in some southern provinces. In **Thailand**, continuous and heavy rainfall in the northeastern region has caused some flooding. Outside the flooding area, the wet-season rice is under generally favourable conditions with a slight increase in total sown area. In the **Philippines**, wet-season rice conditions are mixed due to continued adverse weather conditions over the past month, including four tropical cyclones. Damage is particularly noted in Luzon and some parts of Visayas. Impacts from these weather systems, earlier in-season damage, and delayed sowings, have led to a reduction in estimated harvested area and final yields. In the **US**, conditions are favourable.

Soybeans

In the **US**, the crop is favourable in most of the country with exceptional conditions in the core producing US midwest. Record yields are forecast in many areas, and there is potential for the areas with exceptional conditions to further expand. Dry conditions in lower producing states of Kansas and Missouri are the only cause for concern in the US. In **Canada**, conditions are mixed as crops across most of the country are starting to exhibit moisture stress due to above-average temperatures and poor soil moisture. However, at this time crops are generally on track, and recent rains have replenished soil moisture in the main producing province of Ontario. In **China**, conditions are generally favourable, with the crop in flowering stage in central China and in pod filling stage in the northeast of the country. In **India**, sowing is complete, and the crop has progressed well into the flowering and pod formation stages in most states. In **Ukraine**, conditions remain favourable as the crop matures ahead of schedule owing to recent high temperatures and adequate soil moisture.

Information on crop conditions in non-AMIS countries can be found in the [GEOGLAM Early Warning Crop Monitor](#), published 6 September 2018

Policy development

Wheat

- On 21 July, **Japan** revoked the suspension of wheat imports from Canada, which was imposed for five weeks on concerns over the presence of unauthorized genetically-modified wheat (see Market Monitor: July 2018).
- On 8 July, the **Saudi Arabia** Grains Organization (SAGO) approved a five-year domestic support programme to procure up to 700 000 tonnes of wheat annually from producers. During the agricultural season 2018/19, acquisition prices will be at SAGO's set global import prices or at SAR 1 250 (USD 33) per tonne, whichever is higher. Prices will be subject to review after two agricultural seasons. Under the support scheme, farmers will be authorized to plant wheat on a maximum of 50 hectares.
- On 29 July, **Turkey** authorized the Turkish Grain Board (TMO) to open a duty-free tariff rate quota to import 750 000 tonnes of wheat.
- On 2 July, the **US** notified the WTO of new tolerance levels for residues of thiocarbazon-methyl in wheat forage, which became effective from 22 June 2018.

Maize

- On 13 August, **China's** Dalian Commodity Exchange set the price limits of maize and maize starch futures contracts at 4 percent and their minimum trading margin at 5 percent of the contract value.
- On 4 July, **India** increased the minimum support price of maize for the 2018/19 season by INR 275 to INR 1 700 per quintal (by USD 40 to USD 247.5 per tonne).
- On 29 July, **Turkey** authorized the Turkish Grain Board (TMO) to implement a duty-free tariff-rate quota for the importation of 700 000 tonnes of maize.

Rice

- Effective 1 July, **China** increased the over-quota tariffs on rice from ASEAN partners to 50 percent for paddy and whole rice, 5 percent for broken rice, 40 percent for fine powder of rice, and 5 percent for coarse powder and grain of rice.
- On 4 July, **India** increased the minimum support price of common paddy by INR 200 to INR 1 750 per quintal (USD 29.12 to USD 255 per tonne); and that of Grade A rice by INR 180 to INR 1 770 per quintal (USD 26.2 to USD 257.7 per tonne), for the 2018/19 season.
- To support rice prices, **Thailand** approved THB 22 billion (USD 660 million) in loans to farmers to encourage them to postpone domestic market sales. The loans represent around

THB 1500 per rai (USD 281 per hectare) for a maximum of 12 rai (1.92 hectares) per family.

- Having applied a 5 percent import tariff on paddy rice during the first half of 2018, **Turkey** increased it to 34 percent with immediate effect. Import tariffs were also increased from 10 to 36 percent for brown rice; and from 15 to 45 percent for milled rice. On 29 July, the Turkish Grain Board opened a duty-free tariff rate quota of 100 000 tonnes for rice imports carried out between 15 August 2018 and August 2019. On 15 August, the additional tariff applied on rice imports from the US was doubled, i.e. from 25 to 50 percent.

Soybeans

- On 14 August, as part of fiscal tightening, **Argentina's** Treasury Ministry suspended the gradual export tax reduction scheme for soymeal and soybean oil for a period of six months. The applicable export tax on both products currently stands at 23 percent.
- On 4 July, **India** raised the minimum support price of soybeans for the 2018/19 season by INR 349 to INR 3 399 per quintal (by USD 50.8 to USD 494.9) per tonne.

Biofuels

- On 4 July, Resolution No. 127 in **Brazil** increased the percentage of biodiesel mixture in regular diesel up to 20 percent for "large" consumers (such as carriers and transport companies); up to 30 percent for agricultural, industrial and rail use; and up to 100 percent for other uses.
- On 27 July, **India** reduced the Goods and Services Tax on biofuel pellets from 18 to 5 percent. On 11 August, a new biofuel policy entered into force, requiring 10 percent ethanol blending in fuel by 2022, to be increased to 20 percent by 2030. As part of the policy, the government plans to set up 12 modern biofuel refineries across the country.
- On 15 August, to absorb domestic palm oil oversupply, reduce diesel fuel imports and support the domestic currency, **Indonesia** enacted Presidential Regulation No. 66/2018 to mandatorily require all domestically-used diesel fuel to contain a 20 percent bio-component from 1 September 2018. Revised regulations will also facilitate the channelling of financial support from the Estate Crop Fund to support the expanded use of biodiesel, notably by subsidizing the price gap between biodiesel and petroleum-based diesel fuel.



AMIS Policy database

Visit the AMIS Policy database at: <http://statistics.amis-outlook.org/policy/>

The AMIS Policy database gathers information on trade measures and domestic measures related to the four AMIS crops (wheat, maize, rice, and soybeans) as well as biofuels. The design of this database allows comparisons across countries, across commodities and across policies for selected periods of time.

Across the board

- On 5 August, **Australia** announced a federal aid package amounting to AUS 190 million (USD 140 million) for drought-stricken farmers. On 19 August, Australia increased the relief package by AUS 1.8 billion (USD 1.3 billion) to fund infrastructure projects, upgrade meteorological monitoring services and introduce tax breaks as well as low-interest loans of up to AUS 2 million (USD 1.5 million). On 30 July, the state of New South Wales also assigned AUS 1 billion (USD 741 million) drought support, which includes freight subsidies to transport feed and water; and AUS 150 million (USD 107.9 million) for infrastructure improvements.
- In view of a prolonged drought, on 2 August the **European Commission** decided to relax the regulations governing the granting of financial assistance. Affected producers will be able to receive up to 70 percent (previously 50 percent) of their direct income support entitlements and up to 85 percent (previously 75 percent) of rural development entitlements by mid-October 2018 instead of December 2018. A number of specific exemptions from "greening" requirements (crop diversification, maintenance of fallow land and pasture areas) were also authorized to alleviate feed shortages. On 23 August, the **German** Ministry of Agriculture also announced an emergency drought relief package worth EUR 340 million (USD 389 million).
- In line with **India's** goal to double farmers' incomes by 2022, on 4 July the Cabinet Committee on Economic Affairs approved a hike in minimum support prices for all 24 Kharif crops (including grains, oilseeds and pulses) for the 2018-19 season. Government procurement will continue to be undertaken by the Food Corporation of India and other designated state agencies such as the National Agricultural Cooperative Marketing Federation of India Ltd. and the Small Farmers Agri-Business Consortium.
- In the face of declining prices faced by grain and oilseed producers, on 18 July, the Ministry of Agriculture in **Mexico** introduced a new income support scheme of MXN 2 billion (USD 186 million). The programme is estimated to cover about 11 million tonnes of maize, sorghum, wheat and soybeans and is open to producers in selected states or regions that are registered with the Forward Contract Programme.
- On 10 July, the **US** announced that a list of products imported from China worth USD 200 billion would be subject to an additional duty of 10 percent. The list includes wheat, rice, maize and soybean products. On August 3, **China's** State Council Tariff Committee announced a list of proposed supplemental tariffs ranging from 10 to 25 percent on USD 60 billion worth of US imports including certain wheat, rice, soybean and maize products.
- On 27 August, the **US** launched a support package worth USD 12 billion to mitigate the effects of retaliatory tariffs that were applied on certain commodities in response to China tariffs. A Market Facilitation Programme (MFP) will grant direct payments of approximately USD 4.7 billion to producers. The bulk of such direct payments, i.e. USD 3.6 billion, will benefit soybean farmers while the remainder will compensate the sorghum, maize, wheat, cotton, dairy and meat sectors. Programme enrolment under MFP opens on 4 September and closes in January 2019. To manage disrupted markets, a USD 1.2 billion Food Purchase and Distribution Programme will also procure impacted agricultural products (including rice) for distribution to recipients through existing nutrition and child assistance schemes. Finally, the Agricultural Trade Promotion Programme (USD 200 million) will enable eligible stakeholders to identify and develop new export markets for affected commodities on a cost-sharing basis (e.g., consumer advertising, public relations, point-of-sale demonstrations, trade fairs and exhibitions, market research, and technical assistance).

Logistics/Infrastructure/Trade Junctions

- Due to an unusually low water level in the Parana river in **Argentina**, large grain ships had to reduce their cargo by between 3 200 and 4 300 tonnes at the port hub of Rosario. This reduction has impacted freight rates and led to additional costs as the shipments had to resort to more expensive areas for merchandise.

International prices

International Grains Council (IGC) Grains and Oilseeds Index (GOI) and GOI sub-Indices

	Aug 2018 Average*	% Change M/M	% Change Y/Y
GOI	202	+3.3%	+5.1%
Wheat	202	+8.4%	+13.7%
Maize	185	+3.4%	+11.7%
Rice	165	-0.8%	+0.7%
Soybeans	187	+0.3%	-0.7%

*Jan 2000=100, derived from daily export quotations

Wheat

World wheat export values mostly posted strong gains in early August on more evidence of poor harvests in Europe and the Black Sea region, as well as uncertainty about crops in Canada and Australia. Gains were eroded from mid-month in a period of two-sided movements, with day-to-day activity often linked to worries concerning trade disputes, speculation about export controls in the Black Sea region, currency fluctuations and broader macro-economic concerns. Amid a record pace of early season exports by Russia, news that the government was not planning any measures to stem shipments was seen as negative for other exporters. Despite price declines in the second part of August, the GOI wheat sub-Index still averaged 8 percent higher than in July.

Maize

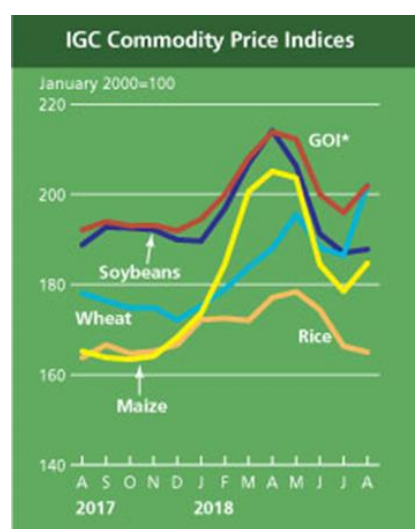
Average maize export prices rebounded in August after three successive monthly declines, with the IGC GOI maize sub-Index up by 3 percent m/m. Outlooks for unfavourable Midwest weather contributed to initial advances in US quotations, as did surging wheat values. Despite support from export demand, prices receded more recently as improved weather and positive crop tour results reinforced expectations for a bumper outturn. Activity in Brazil was slow amid uncertainty about trucking costs, while shipments from Argentina were affected by low water levels on the Parana river. On average, values at both origins were higher than in July, supported by slow country movement.

Rice

Rice export prices were marginally softer m/m amid pressure from new crop arrivals. The biggest decline was in the US as harvesting of the 2018/19 long grain crop got underway, despite mild support from a sale to Iraq. Average Vietnamese quotes were lower amid off-season crop arrivals and subdued spot demand, although harvest delays due to heavy rain supported at times. Indian prices fell on a weaker local currency, while a stronger baht and sales to regional buyers underpinned dollar denominated values in Thailand, where off-season crop harvesting was also disrupted by poor weather.

Soybeans

Average soybean export prices were mildly stronger in August, despite sharp falls in the second half of the month amid continued uncertainty over US-China trade relations. Quotes were initially supported by declining US crop conditions, strong international demand and news of fresh trade talks. However, outlooks for a record 2018/19 crop weighed towards the end of the month, with added pressure from little notable progress in the trade discussions. In Brazil, high internal trucking rates underpinned FOB values, with added support from reluctant farmer selling amid anticipated strong demand from China. However, gains were capped by weak nearby buying interest and as a sharp depreciation of the real weighed on US dollar denominated export prices.



		IGC commodity price indices				
		GOI*	Wheat	Maize	Rice	Soybeans
		(..... January 2000 = 100))				
2017	August	192.1	178.1	165.2	163.8	188.8
	September	193.9	176.3	163.8	166.6	192.7
	October	193.0	174.8	163.4	164.7	192.5
	November	193.1	174.9	164.1	165.2	192.1
	December	191.9	172.1	168.3	166.7	189.9
2018	January	194.5	175.3	173.6	172.2	189.6
	February	199.9	178.9	184.5	172.5	196.8
	March	208.1	183.8	200.6	172.0	206.8
	April	213.8	188.0	205.1	177.1	214.1
	May	212.2	195.5	203.6	178.4	206.3
	June	200.0	188.2	184.4	174.4	191.2
	July	195.9	186.4	178.5	166.3	187.0
	August	201.7	202.1	184.5	165.0	187.5

*GOI: Grains and Oilseeds Index

Selected export prices, currencies and indices

Daily quotations of selected export prices (USD/tonne, 2016-2018)

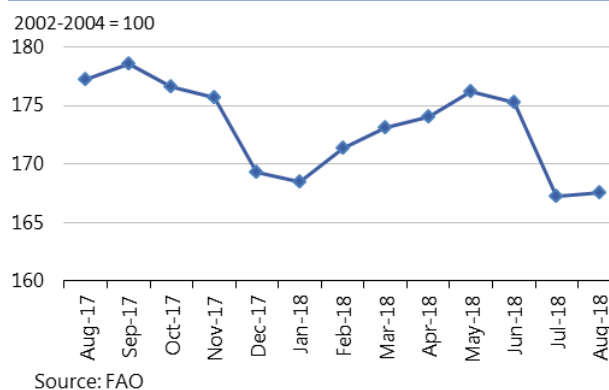
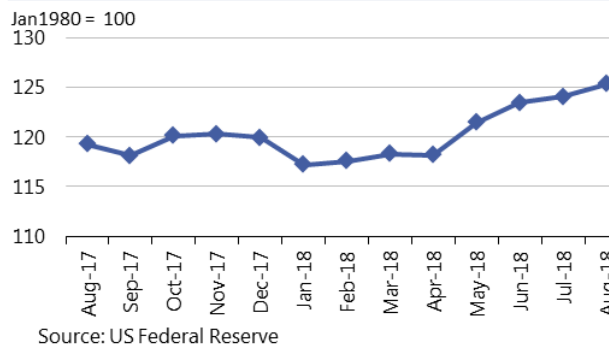


Daily quotations of selected export prices

	Effective Date	Quotation (1)	Week ago (2)	Month ago (3)	Year ago (4)	% change (1) over (2)	% change (1) over (4)
(..... USD/tonne)							
Wheat (US No. 2, HRW)	31-Aug	247	248	254	202	-0.4%	22.3%
Maize (US No. 2, Yellow)	31-Aug	160	159	165	147	0.6%	9.2%
Rice (Thai 100% B)	31-Aug	396	394	382	379	0.5%	4.5%
Soybeans (US No.2, Yellow)	31-Aug	317	319	350	375	-0.6%	-15.5%

AMIS Countries' Currencies Against US Dollar

AMIS Countries	Currency	Aug 2018 Average	Monthly Change	Annual Change
Argentina	ARS	30.2	-9.5%	-73.4%
Australia	AUD	1.4	-1.1%	-8.0%
Brazil	BRL	3.9	-2.9%	-24.8%
Canada	CAD	1.3	0.7%	-3.4%
China	CNY	6.8	-2.0%	-2.7%
Egypt	EGP	17.8	0.1%	-0.7%
EU	EUR	0.9	-1.2%	-2.3%
India	INR	69.6	-1.4%	-8.8%
Indonesia	IDR	14,559.1	-1.1%	-9.1%
Japan	JPY	111.0	0.4%	-1.1%
Kazakhstan	KZT	358.0	-3.9%	-7.3%
Rep. Korea	KRW	1,120.2	0.1%	0.9%
Mexico	MXN	18.8	0.7%	-5.9%
Nigeria	NGN	305.0	0.3%	0.9%
Philippines	PHP	53.3	0.2%	-4.5%
Russian Fed.	RUB	66.5	-5.8%	-11.8%
Saudi Arabia	SAR	3.8	0.0%	0.0%
South Africa	ZAR	14.1	-5.4%	-6.6%
Thailand	THB	33.0	0.7%	0.7%
Turkey	TRY	5.9	-24.0%	-69.0%
UK	GBP	0.8	-2.3%	-0.6%
Ukraine	UAH	27.5	-4.3%	-7.5%
Viet Nam	VND	23,293.1	-0.8%	-2.5%

FAO Food Price Index
Aug 2017-Aug 2018Nominal Broad Dollar Index
Aug 2017-Aug 2018

Futures markets

Futures Prices – nearby

	Aug-18 Average	% Change	
		M/M	Y/Y
Wheat	198	+ 6.1%	+25.5%
Maize	141	+ 2.6%	+ 1.5%
Rice	237	- 10.1%	- 12.6%
Soybeans	317	+ 1.3%	- 8.3%

Source: CME

Futures Prices

Prices for wheat, maize, soybeans and rice followed their own paths during the month as global weather developments and tariff policies steered trading strategies. In wheat, hot and dry conditions in northern Europe, as well as parts of Asia, Australia and the Black Sea region drove prices to three-year highs in early August. Maize prices tended to follow US crop development, as USDA projected record yields, but estimated production to fall short of last year's bumper crop due to lower planted acres. Maize prices found end-month support from the US administration's announcement of a tentative trade agreement with Mexico, the largest buyer of US maize and pork products, the latter recently subjected to escalating tariffs. Soybeans, which saw a 16 percent decline in value during late spring as China switched its imports from US to Brazil, experienced some leveling of prices and tended to trail Brazilian values at about a USD 30 per tonne discount. US soybean exports to China lagged 8 million tonnes behind last year's pace at season's crop year end (August 31), three quarters of which was recouped by increased sales to Europe, Africa and other Asia. Exogenous markets did not appear overly influential on agricultural prices - firm crude oil prices alongside a strong USD seemed to send mixed signals. Wheat, maize and soybeans were higher m/m by 6.1, 2.6 and 1.3 percent respectively. On a y/y basis, wheat was higher by 25.5 percent while soybeans were lower by 8.3 percent, reflecting the fundamental changes in the two balance sheets. Maize was negligibly higher y/y by 1.5 percent, rice fell 10 percent m/m due to increased competition from South American export markets, reflecting a 12.6 percent y/y decline.

Volumes and volatility

Trade volumes for wheat, maize and soybeans reflected divergent trading paths m/m as wheat volumes neared record highs and soybean volumes declined to 3-year lows. Maize volumes increased marginally m/m. Implied volatility declined for all three commodities m/m, indicating less uncertainty over trade and crop outlooks while historical volatility declined for wheat and maize but rose for soybeans m/m. Changes in both implied and historical volatility levels y/y reflected a mixed picture -higher for wheat and soybeans and lower for maize.

Basis levels and transport

Domestic basis levels for maize and soybeans declined m/m reflecting ample year-end carry-out stocks and large looming harvests. In Illinois, the interior bids to local elevators were quoted at minus USD 21 per tonne for maize

Historical Volatility – 30 Days, nearby

	Monthly Averages		
	Aug-18	Jul-18	Aug-17
Wheat	36.4	37.5	32.2
Maize	24.6	26.9	27.8
Rice	23.7	37.9	18.1
Soybeans	25.9	22.6	23.4

and minus USD 23 for soybeans, both under the respective new-crop December and November futures prices. In Iowa, the bids were similarly weak at minus USD 21 for maize and minus USD 34 for soybeans (under the respective futures). Gulf export delivery basis levels were soft with maize quoted at USD 16 while soybeans were about USD 9 (per tonne basis over respective new-crop futures). Soft red wheat values delivered into the northern mills were thinly quoted at about even with the nearby September futures and were quoted at lackluster values for gulf delivery- about USD 11 over December futures. Barge freight was relatively steady at around USD 24 per tonne, continuing to trade as it has since the start of 2018, about one third higher than the three year average. In the export market, maize exports were poised to exceed last year's record level by year-end (August 31) while soybeans were destined to fall short as a result of halted shipments to China since April. However, outstanding sales for the crop year 2018/19 exceeded last year's numbers by 15 percent. Exports in wheat, the crop year for which began on June 1, were about one third lower than last year.

Forward curves

Forward curves exhibited some slackening of the front end for wheat, maize and soybeans m/m reflecting ample supply markets and some perceived curtailing of demand. The forward May/ July 2019 wheat spread displayed a rare inversion in value, reflecting possibly the tightened global wheat supply projected toward the end of the 2018/19 crop year. Soybeans experienced the biggest slump in the front end of the curve - nearly doubling its carry m/m between November 2018 and November 2019, from USD 11 to USD 22.

Investment flows

Managed money made modest changes to its positions in wheat, maize and soybeans by increasing its net long position in wheat and reducing its net short positions in maize and soybeans. Commercials remained heavily short as would be standard ahead of large harvests. Spread totals for the three commodities, although somewhat lower m/m were over 50 percent higher than last year. Open interest totals which reached record levels in July boosted by large commercial participation reverted back to normal levels.

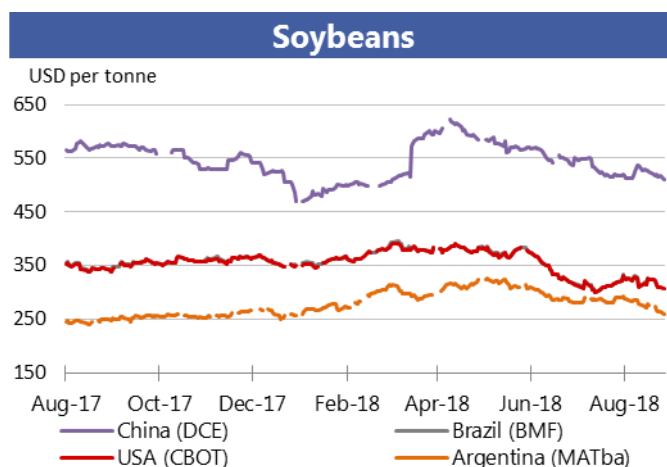
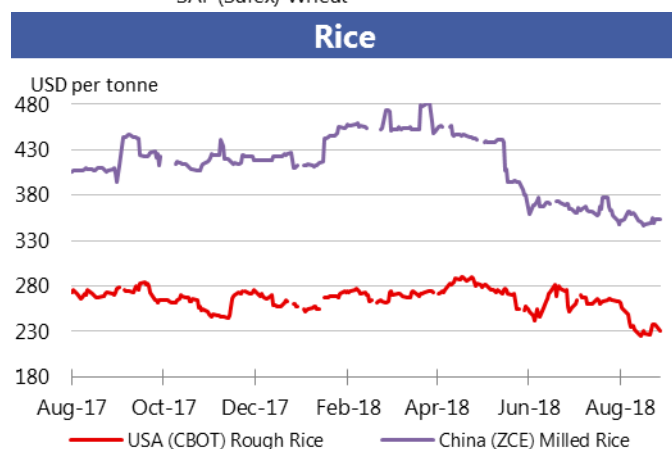
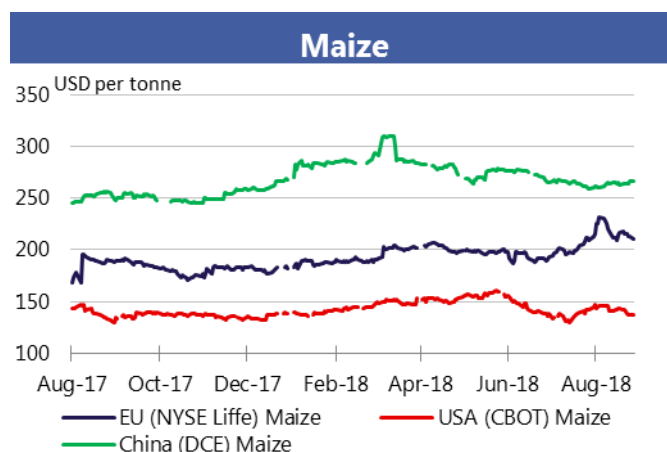
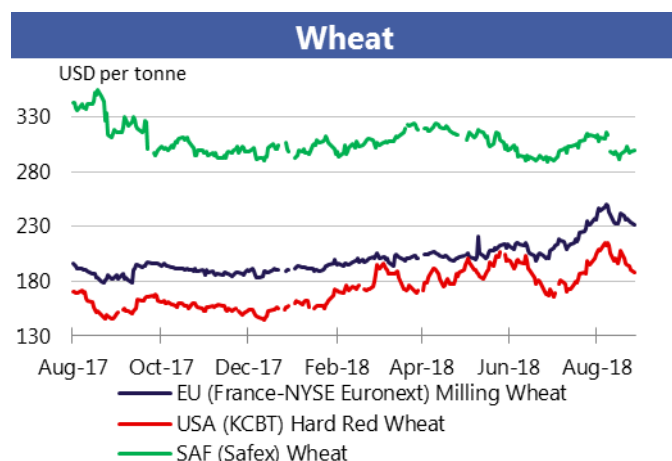


For more information on technical terms please view the Glossary at the following link:

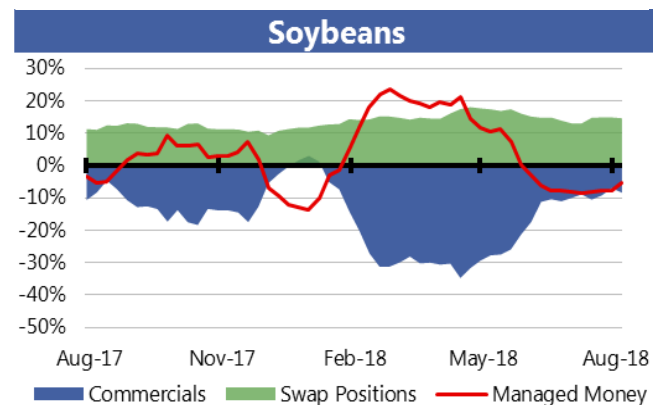
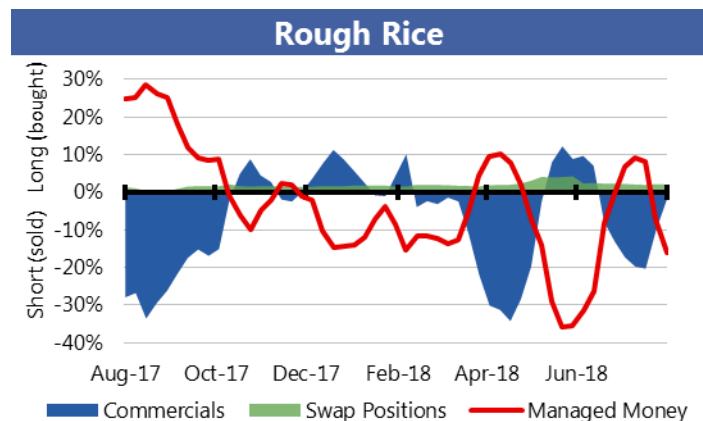
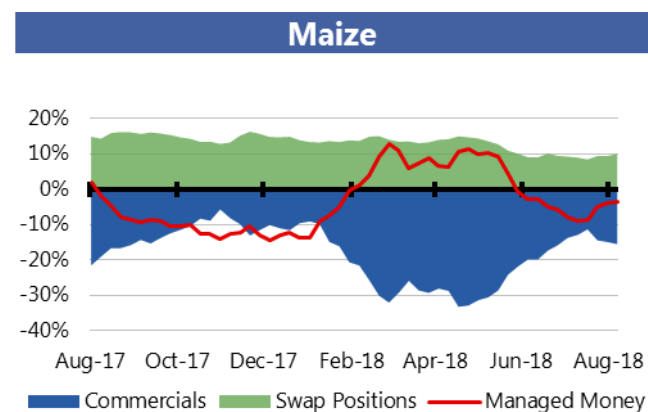
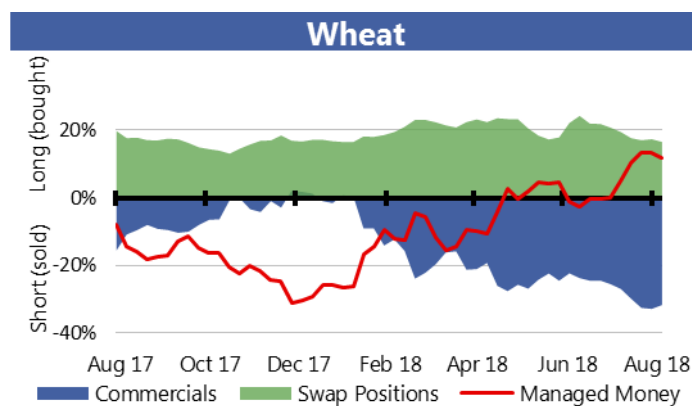
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Market indicators

Daily quotations from leading exchanges - nearby futures

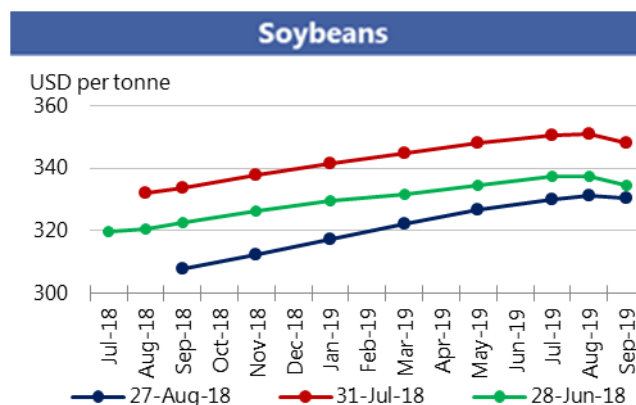
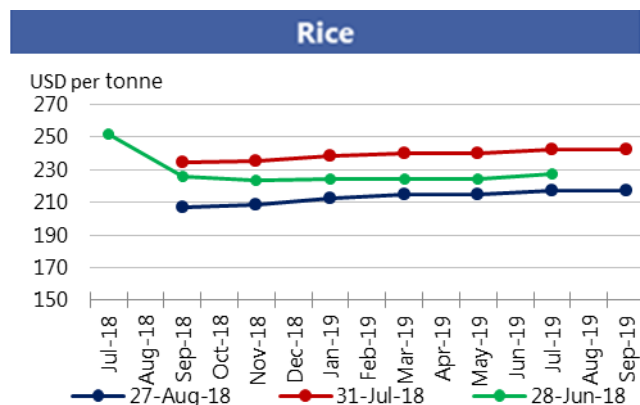
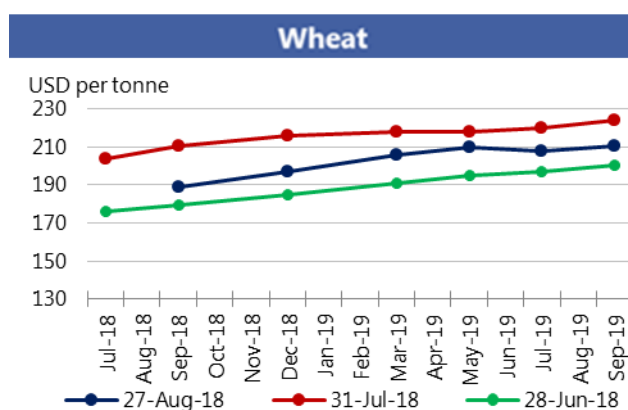
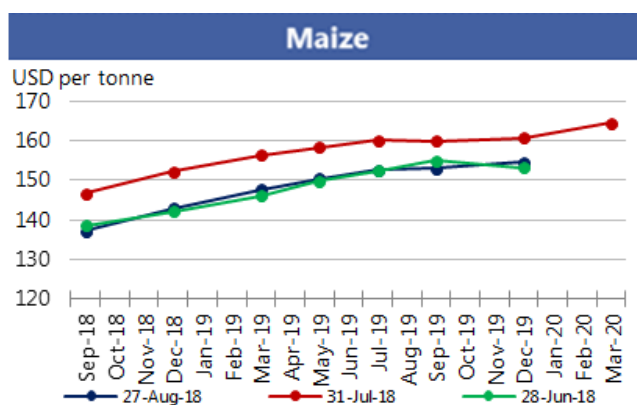


CFTC Commitments of Traders - Major Categories Net Length as percentage of Open Interest*

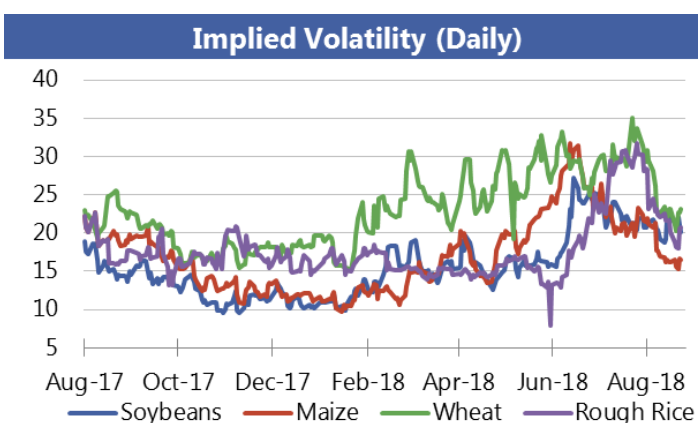
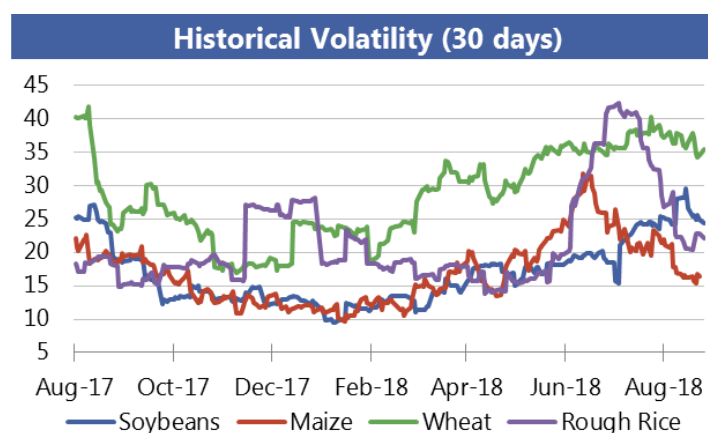


*Disaggregated Futures Only. Though not all positions are reflected in the charts, total long positions always equal total short positions.

Forward Curves



Historical and Implied Volatilities



AMIS Market indicators

Some of the indicators covered in this report are updated regularly on the AMIS website. These, as well as other market indicators, can be found at: <http://www.amis-outlook.org/amis-monitoring/indicators/>

Monthly US ethanol update

- **Ethanol production** rose at a record pace in August, lifting the annualized production pace to over 16.6 billion gallons.
- The **ethanol to gasoline futures prices** remained near parity at an energy equivalency basis (67 percent) for the third month in a row. While this ratio was reached in the past, it has not for such an extended period of time.
- **Maize costs** rose and ethanol receipts fell, both more than offsetting the increase in prices of DDGs.
- With rising costs and falling receipts, **ethanol production margins** turned negative in August.

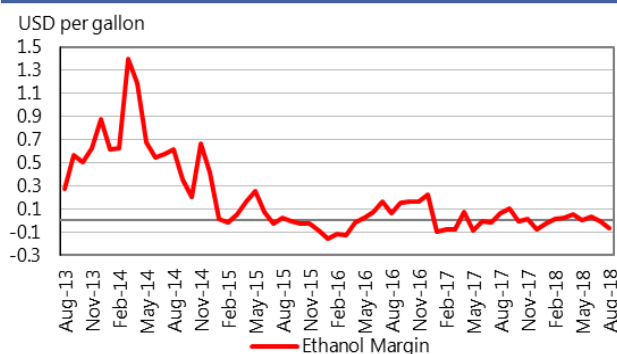
Spot prices IA, NE and IL/eastern corn belt average	Aug 2018*	Jul 2018	Aug 2017
Maize price (USD per tonne)	135.23	131.33	132.36
DDGs (USD per tonne)	128.55	116.86	109.78
Ethanol price (USD per gallon)	1.34	1.40	1.50
Nearby futures prices CME, NYSE			
Ethanol (USD per gallon)	1.37	1.42	1.53
RBOB Gasoline (USD per gallon)	2.03	2.106	1.62
Ethanol/RBOB price ratio	67.3%	67.8%	94.4%
Ethanol margins IA, NE and IL/eastern corn belt Average (USD per gallon)			
Ethanol receipts	1.34	1.40	1.50
DDGs receipts	0.40	0.36	0.34
Maize costs	1.25	1.21	1.22
Other costs	0.55	0.55	0.55
Production margin	-0.06	0.00	0.07
Ethanol production (million gallons)			
Monthly production total	1 410	1 397	1 331
Annualized production pace	16 606	16 447	15 676

Based on USDA data and private sources

* Estimated using available weekly data to date.

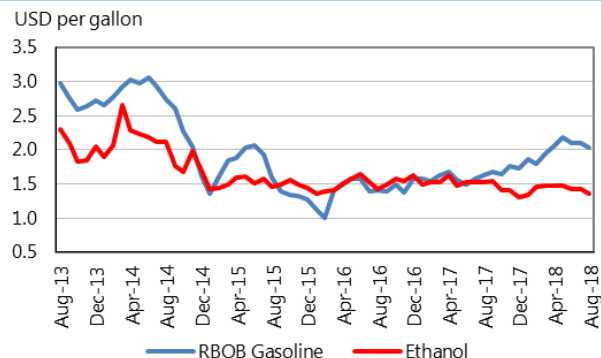
Ethanol Production Margin

(IA, NE, IL/eastern corn belt average)

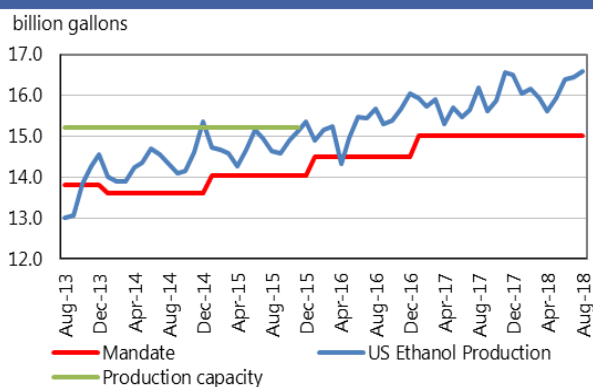


Ethanol and RBOB gasoline

(nearby futures prices, CME, NYSE)



Ethanol production pace, capacity and annual mandate



Ethanol price vs. maize price

(Spot prices)

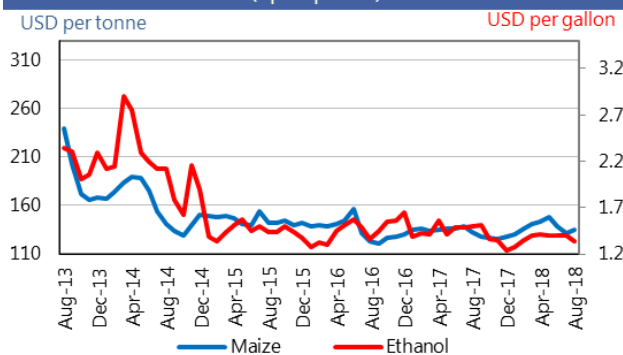


Chart and tables description

Ethanol Production Margins: The ethanol margin gives an indication of the profitability of maize-based ethanol production in the United States. It uses current market prices for maize, Dried Distillers Grains (DDGs) and ethanol, with an additional USD 0.55 per gallon of production costs

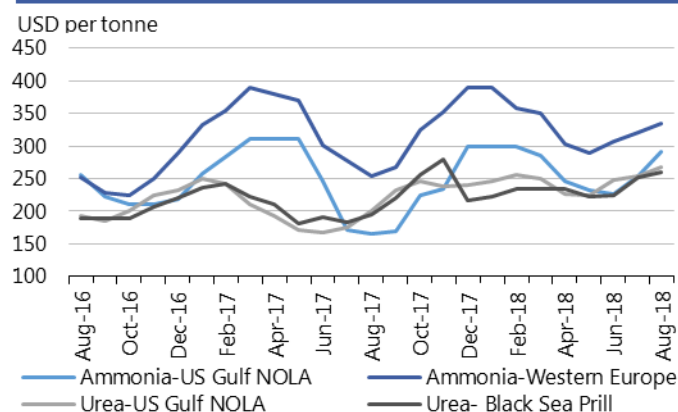
Ethanol Production Pace, Capacity and Mandate: Overview of the volume of maize-based ethanol production in the United States; it also highlights overall production capacity and the production volume that is mandated by public legislation. Name-plate (i.e. nominal) ethanol production capacity in the US is roughly 14.9 billion gallons per annum, but plants can exceed this level, so the actual capacity is assumed to be 15.2 billion gallons.

DDGs: By-product of maize-based biofuel production, commonly used as feedstuff.

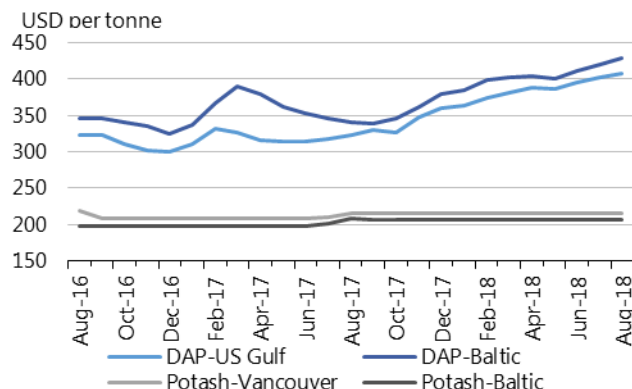
RBOB: Reformulated Blendstock for Oxygenate Blending, gasoline nearby futures (NYSE).

Fertilizer outlook

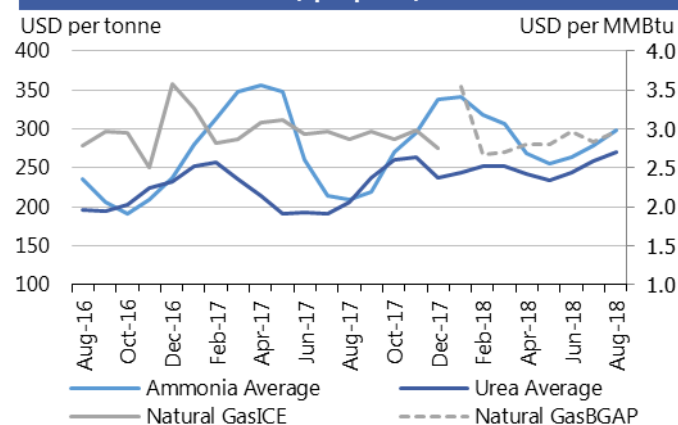
**Ammonia and Urea
(Spot prices)**



**Potash and Phosphate
(Spot prices)**



**Ammonia Average, Urea Average and Natural Gas
(Spot prices)**



- **Ammonia** prices continued their upward trend for a third month. The increase was driven by high gas prices in Europe and production outages in Russia Federation as a result of factory maintenance programmes.
- **Urea** prices continued to increase due to supply shortages in Ukraine and China and higher demand from North and South America.
- **DAP** prices firmed in August on a slight slowdown in global production in the face of steady demand.
- **Potash** prices remained unchanged m/m due to stable global demand and supply.
- **Natural gas** prices rose in August, despite greater production in the US. Higher-than-average temperatures in the Northern Hemisphere raised cooling needs, resulting in lower inventories.

	August average	August std. dev	% change last month*	% change last year*	12-month high	12-month low
Ammonia-US Gulf NOLA	291.0	17.3	14.6%	76.4%	300	170
Ammonia-Western Europe	335.0	-	4.7%	32.0%	390	268
Urea-US Gulf	268.3	13.5	5.9%	34.2%	268.3	224.0
Urea-Black Sea	260.0	-	3.0%	34.0%	280.0	217.5
DAP-US Gulf	408.3	2.9	1.4%	26.2%	408.3	326
DAP-Baltic	428.3	14.4	2.0%	26.0%	428	339
Potash-Baltic	206.0	-	0.0%	-1.4%	206.0	206
Potash-Vancouver	216.0	-	0.0%	0.0%	216.0	216
Ammonia	297.8	4.3	7.2%	41.8%	341.3	219.8
Urea	269.9	3.8	4.0%	31.5%	269.9	234
Natural Gas*	3.0	-	5.6%	-0.9%	3.5	2.7

All prices shown are in US dollars.

*Natural Gas is a new Henry Hub Index (BGAP), replacing the one used before, which has been discontinued.

Source: Own elaboration based on Bloomberg



Chart and tables description

Ammonia and Urea: Overview of nitrogen-based fertilizer prices in the US Gulf, Western Europe and Black Sea. Prices are weekly prices averaged by month.

Potash and Phosphate: Overview of phosphate and potassium-based fertilizer prices in the US Gulf, Baltic and Vancouver. Prices are weekly prices averaged by month.

Ammonia Average and Urea Average: Monthly average prices from Ammonia's US Gulf NOLA, Middle East, Black Sea and Western Europe were averaged to obtain Ammonia Average prices; monthly average prices from Urea's US Gulf NOLA, US Gulf Prill, Middle East Prill, Black Sea Prill and Mediterranean were averaged to obtain Urea Average prices.

Natural Gas: Henry Hub Natural Gas Spot Price from ICE up to December 2017 and from Bloomberg (BGAP) from January 2018 onwards. Prices are intraday prices averaged by month. Natural gas is used as major input to produce nitrogen-based fertilizers.

DAP: Diammonium Phosphate.

Monthly ocean freight market update

Dry bulk freight market developments

	Aug 2018 Average*	M/M	% Change
Baltic Dry Index (BDI) *	1 725	+4.6%	+ 51.1%
<i>sub-Indices:</i>			
Capesize	3 455	+11.7%	+ 66.1%
Panamax	1 466	- 1.6%	+ 18.7%
Supramax	1 053	+ 3.7%	+ 32.5%
Baltic Handysize Index (BHSI)**	545	- 2.8%	+ 15.1%

Source: Baltic Exchange.

Note: *4 January 1985 = 1000 **23 May 2006 = 1000. Baltic Handysize sub-Index excluded from the BDI from 1 March 2018

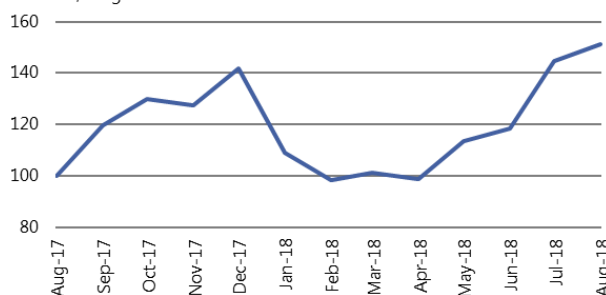
- The dry bulk freight market was moderately firmer in August, with the **Baltic Dry Index (BDI)** averaging 5 percent higher m/m, a fourth consecutive monthly gain. Initial strength was tied to Capesize advances, while an upturn in the grains and oilseeds carrying segments underpinned more recently. Reflecting improved market fundamentals, the BDI was well above its level of a year ago and up six-fold from the all-time low of early 2016.
- Average **Capesize** earnings rose by a net 12 percentage m/m. Quotations were buoyed at multi-month highs in early August by brisk dispatches of iron ore, notably from Brazil to China, but eased thereafter on slackening demand, despite tight tonnage at some origins.
- Panamax** rates were slightly softer compared to July. Early losses stemmed from sluggishness in the Atlantic and

excess vessel availability in the north Pacific, which countered support from fresh business in Indonesia and sustained fertiliser trade in Europe. The subsequent reversal was mainly triggered by strengthening interest in coal and minerals in Southeast Asia, as well as grains and oilseeds fixings at the US Gulf and in South America.

- Sentiment in **Supramax** and **Handysize** sectors was thinly mixed. Buoyant demand for grains shipments from the Black Sea, including for Atlantic and Asia-bound routes, boosted rates in the former segment, while activity at the US Gulf was a positive influence at times. Decent enquiry levels in Europe, mostly from scrap and fertiliser charterers, and shortages of nearby tonnage provided additional support.

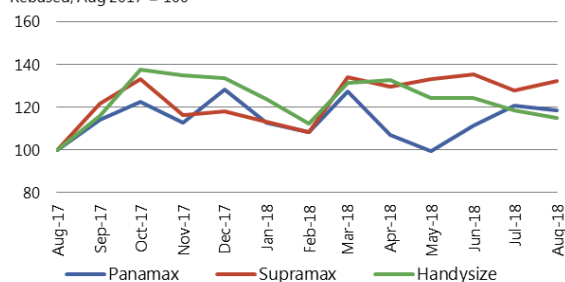
Baltic Dry Index*

Rebased, Aug 2017 = 100

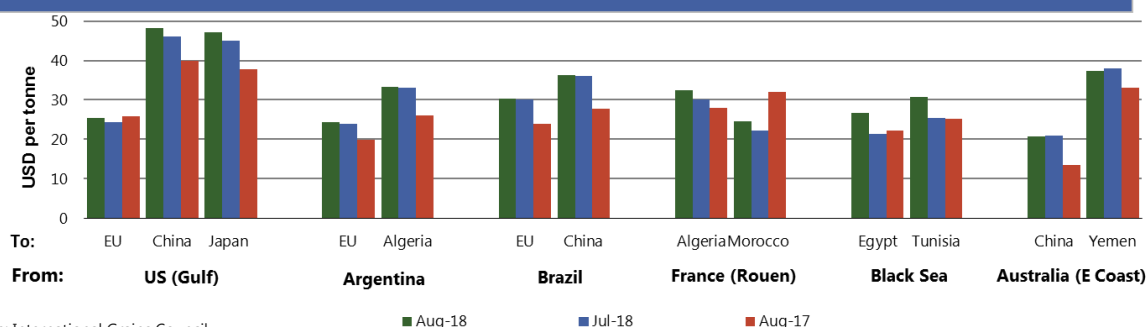


Grains and oilseeds carrying sectors: Panamax and Supramax sub-Indices and Handysize Index*

Rebased, Aug 2017 = 100



Average nominal freight rates on selected grains and oilseeds routes



Source: International Grains Council.



Notes:

Baltic Dry Index (BDI): A global benchmark indicator issued daily by the London-based Baltic Exchange, providing an assessment of the costs of moving major raw materials on ocean going vessels. The BDI is a composite measure, comprising sub-indices for four carrying segments, representing different vessel sizes: Capesize, Panamax, Supramax and Handysize. **Capesize:** The largest vessels included in the BDI with deadweight tonnage (DWT) above 80 000 DWT, primarily transporting coal, iron ore and other heavy raw materials on long-haul routes.

Panamax: Vessels with capacity of 60 000 to 80 000 DWT, which are mostly geared to transporting coal, grains, oilseeds and other bulks, including sugar and cement.

Supramax/Handysize: Vessels with capacity below 60 000 DWT, which account for the majority of the world's ocean going vessels. They can transport a wide variety of cargos, including grains and oilseeds.

Explanatory Notes

The notions of **tightening** and **easing** used in the summary table of “World Supply and Demand” reflect judgmental views which take into account market fundamentals, inter-alia price developments and short-term trends in demand and supply, especially changes in stocks.

All totals (aggregates) are computed from unrounded data. World supply and demand estimates/forecasts in this report are based on the latest data published by FAO, IGC and USDA; for the former, they also take into account information received from AMIS countries (hence the notion “FAO-AMIS”). World estimates and forecasts may vary due to several reasons. Apart from different release dates, the three main sources may apply different methodologies to construct the elements of the balances. Specifically:

Production: For wheat, production data refer to the first year of the marketing season shown (e.g. the 2016 production is allocated to the 2016/17 marketing season). For maize and rice, FAO-AMIS production data refer to the season corresponding to the first year shown, as for wheat. However, in the case of rice, 2016 production also includes secondary crops gathered in 2017. By contrast, for rice and maize, USDA and IGC aggregate production of the northern hemisphere of the first year (e.g. 2016) with production of the southern hemisphere of the second year (2017 production) in the corresponding 2016/17 global marketing season. For soybeans, this latter method is used by all three sources.

Supply: Defined as production plus opening stocks. No major differences across sources.

Utilization: For wheat, maize and rice, utilization includes food, feed and other uses (“other uses” comprise seeds, industrial utilization and post-harvest losses). For soybeans, it comprises crush, food and other uses. No major differences across sources.

Trade: Data refer to exports. For wheat and maize, trade is reported on a July/June marketing year basis, except for the USDA maize trade estimates, which are reported on an October/September basis. FAO-AMIS and IGC wheat trade data includes wheat flour in wheat grain equivalent. USDA wheat trade data also includes wheat products. For rice, trade covers flows from January to December of the second year shown, and for soybeans from October to September. Trade between European Union member states is excluded.

Stocks: In general, stocks refer to the sum of carry-overs at the close of each country’s national marketing year. In the case of maize and rice, in southern hemisphere countries the definition of the national marketing year is not the same across the three sources as it depends on the methodology chosen to allocate production. For Soybeans, the USDA world stock level is based on an aggregate of stock levels as of 31 August for all countries, coinciding with the end of the US marketing season. By contrast, the IGC and FAO-AMIS measure of world stocks is the sum of carry-overs at the close of each country’s national marketing year.

Main sources

Bloomberg, CFTC, CME Group, FAO, GEOGLAM, IFPRI, IGC, Reuters, USDA, US Federal Reserve

Contacts and Subscriptions

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AMIS - GEOGLAM Crop Calendar

Selected leading producers

Wheat		J	F	M	A	M	J	J	A	S	O	N	D
EU (21%)*	winter												
	spring												
China (17%)	winter												
India (13%)	winter												
US (8%)	spring												
	winter												
Russia (8%)	spring												
	winter												
Maize		J	F	M	A	M	J	J	A	S	O	N	D
US (35%)													
China (22%)	north												
	south												
Brazil (8%)	1st crop												
	2nd crop												
EU (7%)													
Argentina (3%)													
Rice		J	F	M	A	M	J	J	A	S	O	N	D
China (29%)	intermediary crop												
	late crop												
	early crop												
India (21%)	kharif												
	rabi												
Indonesia (9%)	main Java												
	second Java												
Viet Nam (6%)	winter-spring												
	summer/autumn												
	winter												
Thailand (4%)	main season												
	second season												
Soybeans		J	F	M	A	M	J	J	A	S	O	N	D
USA (31%)													
Brazil (29%)													
Argentina (18%)													
China (4%)													
India (3%)													

* Percentages refer to the global share of production (average 2013-15).

	Planting (peak)		Harvest (peak)
	Planting		Harvest
	Weather conditions in this period are critical for yields.		Growing period

2018 AMIS Market Monitor Release Dates

February 1, March 1, April 5, May 3, June 7, July 5, September 6, October 4, November 1, December 6

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